



This is how the A/D indicator looks like in practice. A positive value indicates the association of more volume with the upwards trend and a negative value tells us that a higher value is associated with negative prices. Here we will get signals based on divergences between the direction of A/D indicator and the price. In the highlighted zone, despite the indicator heading upwards, the prices are decreasing, thus showing a divergence. As a result, we shall now track the asset for a reversal and use other indicators to enter the trade.